

higher returns of small-company stocks. I know that when I find a situation where it seems to me probabilities favor the rewards over the risks, I will have no trouble finding the other side of the trade, because most people ignore probabilities, exaggerate the risks, and are prone to sacrifice returns in favor of perceived safety.

Most people ignore probabilities and exaggerate risks.

One of the more interesting aspects of the Kahneman and Tversky studies deals with the role of context in the decision-making process. People make up their minds differently according to how a problem is presented to them. Perversely, when the potential gain in a transaction is stressed, people get nervous and wary; and when potential losses are played up, they are so spooked they are willing to assume what are in reality greater risks in order to avoid the losses.

For example, suppose a person has spent an afternoon at the racetrack, has lost \$140, and is considering a \$10 bet on a fifteen-to-one long shot in the last race. This decision can be framed in two ways, which correspond to two natural reference points. If the reference point is restricted to the bettor's current cash on hand, the outcomes of the bet are framed as a gain of \$140 *or* a loss of \$10. On the other hand, it may be more natural to view the present state as a loss of \$140 for the betting day, and accordingly frame the last bet as a chance to get back to even *or* to increase the loss a mere \$10. Prospect theory implies that the latter frame of reference will produce more risk seeking than the former. Hence, people who do not adjust their reference point as they lose can be expected to make bets they would normally find outrageous, even on a dubious nag